

First, looking at increase complaints filed on the District's behalf during the prior triennium (TY 2018 through TY 2020), I compared what we were able to file under the current system with what we would have been able to file for that same time period had the new, HB 126 system been in place (both in terms of the ability to file the increase complaint in question as well as the permitted timing of the increase complaint if the monetary thresholds were satisfied). Based on this analysis, if the new, HB 126 system had been in place during the prior triennium, the potential loss as it relates to the District's increase complaints is estimated to be as follows:

- Estimated, Potential Loss in Fair Market Value: \$16,329,500.00
- Estimated, Potential Loss in Taxable Value: \$5,715,325.00
- Estimated, Potential Loss in Taxes (total): \$468,872.52
- Estimated, Potential Loss in Taxes (to the District): \$281,323.51

Second, I isolated the value increases obtained by the District through District-initiated appeals during the prior triennium (TY 2018 through TY 2020). If the new system had been in place during the prior triennium, the District would not have been able to file these appeals, and assuming all other things remained unchanged, the increases obtained by the District through these appeals constitute estimated, potential losses. Based on this analysis, the potential loss as it relates to these District-initiated appeals is estimated to be as follows:

- Estimated, Potential Loss in Fair Market Value: \$6,510,000.00
- Estimated, Potential Loss in Taxable Value: \$2,278,500.00
- Estimated, Potential Loss in Taxes (total): \$184,556.14
- Estimated, Potential Loss in Taxes (to the District): \$110,733.68

As an aside, the pending TY 2020 appeals were not factored into either of the above analyses.

Third, looking at the increase complaints filed on the District's behalf for TY 2021, I compared what we were able to file under the current system versus what we would have been able to file had the new, HB 126 system been in place (both in terms of the ability to file the increase complaint in question as well as the permitted timing of the increase complaint if the monetary thresholds were satisfied). As an initial matter, had the new system been in place, none of these seven increase complaints would have been able to have been filed (at least in relation to TY 2021):

- Four of the increase complaints would not have met the monetary thresholds imposed by HB 126 (and even if they had otherwise met the monetary thresholds, based on the timing of the underlying sales, none of these complaints would have been able to have been filed for TY 2021, but rather, three of these complaints would have had to have been filed for TY 2022 and one would have had to have been filed for TY 2023).
- The remaining three complaints satisfied the monetary thresholds of HB 126; however, based on the timing of the underlying sales, none of these complaints would have been able to have been filed for TY 2021, but rather two of the complaints would have had to have been filed for TY 2022 and one would have had to have been filed for TY 2023.

While hearings on the TY 2021 increase complaints have not been scheduled, assuming we were to prevail (i.e., that the BOR adopts the sale price as the fair market value) and assuming that that value would end up applying to all three years of the current triennium, the potential loss had the new, HB 126 system applied to our TY 2021 increase complaints is estimated to be as follows:

- Estimated, Potential Loss in Fair Market Value: \$6,659,000.00
- Estimated, Potential Loss in Taxable Value: \$2,330,650.00
- Estimated, Potential Loss in Taxes (total): \$189,920.73
- Estimated, Potential Loss in Taxes (to the District): \$113,952.44

As a reminder, and consistent with our agreed upon approach, the estimated, potential loss in taxes (total) and the estimated, potential loss in taxes (to the District) in each of the above analyses are rough figures developed using the County's property tax estimator tool, <https://fiscalofficer.cuyahogacounty.us/en-US/property-tax-calculator.aspx>, in order to estimate the potential loss in taxes (total) and then taking 60% of that total to develop a rough estimate of loss in taxes to the District. Further, the estimated, potential impacts outlined above only take into account the triennium in question in each respective analysis; they do not take into account any longer-term residual impacts that may otherwise exist beyond that triennium.